

precious metals, and gemstones.

Depending on your age, income, and temperament, you may want to omit one or more of these levels in your planning. For instance, an older person may not want or need to get into tier 5, the purely speculative area. A younger person may not want to get into tier 1, the purely secure income.

Some of the examples we'll look at should help to clarify what levels fit best for differing circumstances.

29 KEY #7: FOLLOW LONG-RANGE TRENDS

Invest with an eye to long-range economic trends, especially inflation. So many times we get trapped into following short-range trends. When the economy is doing well and inflation and interest rates are down, everything seems to be going great, so everybody wants to jump into the market and make a lot of money.

Some people who get in will make money, but the vast majority who get in are going to panic during a short-term downturn and lose most or all of the money they made. In fact, if they chose to speculate, they may lose more than they made, especially if they borrowed to invest. When the market drops, they can't afford to ride it out; so they sell in a downmarket, as October 1987 demonstrated. So it's always important to think in terms of long-term economics when you evaluate where to put your money. Remember with long-term trends that whatever is going on right now will eventually reverse. Your investments should not stay stagnant, but don't panic either.

Again, Bernard Baruch said, "There is a strange phenomenon practiced by most investors, that most people tend to panic when their assets decline in value, and they will sell simply because they have not taken a long-range view of things."

Perhaps the most significant economic trend that has affected the area of investments over the last 10 years has been